CHAPTER 10

BALANCE OF PAYMENTS AND EXCHANGE RATE

Course of Action
Maximum Time = 4 Hrs
Maximum Questions = 80

Learning Objectives

The students will learn:

- *The components of Balance of Payments, both current and capital account, along with all the terms associated with it.*
- *The factors that causes disequilibrium in the balance of payments.*
- *The measures to overcome the disequilibrium in the balance of payments.*
- *The meaning and systems of foreign exchange rate, their differences, merits and demerits.*
- *The determination of foreign exchange rate in flexible exchange rate regime.*
- *The effect of devaluation, revaluation, appreciation and depreciation on the economy.*

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Topic-1 Balance of Payments – Meaning and Components

Concepts covered: Balance of Trade and Balance of Payments Components of BOP Account.

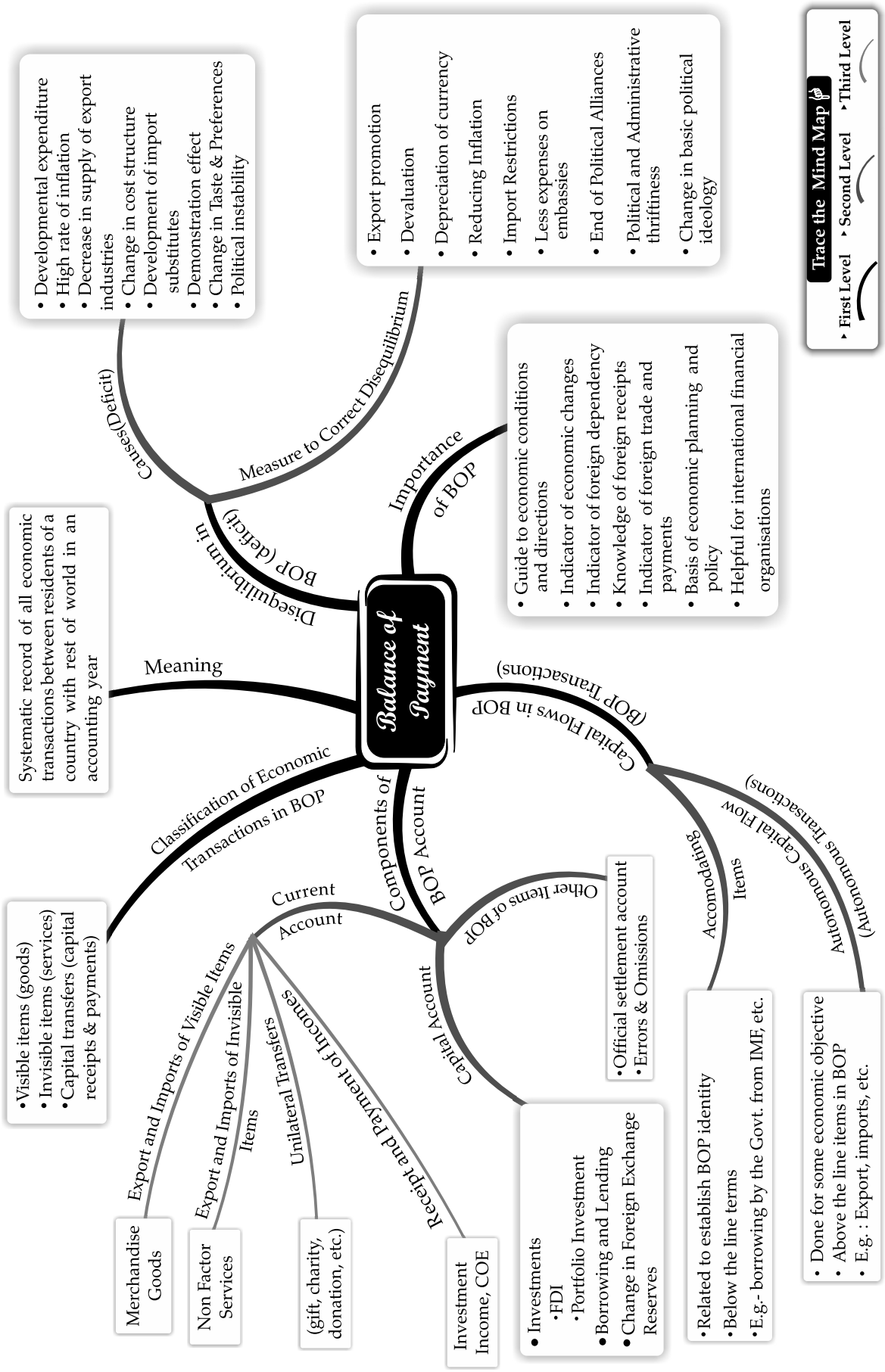
Revision Notes

- **Balance of Trade :** Balance of Trade is the difference between exports and imports of goods of a country.
- **Balance of Payments :** Balance of Payments of a country is the systematic record of all economic transactions between the residents of a country and the rest of the world, during a year. Balance of payments has two accounts : (a) Current Account, and (b) Capital Account.
- **Classification of Economic Transactions in BOP :** The economic transactions in BOP are classified as : (i) Visible items (physical goods) (ii) Invisible items (services) (iii) Capital transfers (capital receipts and payments)
- **Components of BOP Account :** The transactions entering into the balance of payments account can be grouped under three broad accounts :

(i) Current account
(ii) Capital account
(iii) Official International Reserve Account

- **Current Account :** Transactions relating to trade in goods and services and transfer payments constitute the current account.
- **Items of Current Account :** (i) Merchandise Account, (ii) Invisible Items, and (iii) Unilateral Transfers.
- **Capital Accounts :** Capital account represents international capital transactions which include sale and purchase of assets such as bonds, equities, lands, bank accounts, etc.
- **Other Items of BOP :** (i) The official settlements Account, and (ii) Errors and Omissions.

Scan to know more about this topic
Balance of Payments Accounts


Balance of Payment
Meaning
Systematic record of all economic transactions between residents of a country with rest of world in an accounting year
Classification of Economic Transactions in BOP
•Visible items (goods)
•Invisible items (services)
•Capital transfers (capital receipts & payments)
Components of BOP Account
Current Account
Export and Imports of Visible Items
Merchandise Goods
Export and Imports of Invisible Items
Non Factor Services
Unilateral Transfers
(gift, charity, donation, etc.)
Receipt and Payment of Incomes
Investment Income, COE
Capital Account
• Investments
•FDI
•Portfolio Investment
• Borrowing and Lending
• Change in Foreign Exchange Reserves
Other Items of BOP
•Official settlement account
•Errors & Omissions
Capital Flows in BOP (BOP Transactions)
Accomodating Items
•Related to establish BOP identity
•Below the line terms
•E.g.- borrowing by the Govt. from IMF, etc.
Autonomous Capital Flow (Autonomous Transactions)
• Done for some economic objective
• Above the line items in BOP
• E.g. : Export, imports, etc.
Disequilibrium in BOP (deficit)
Causes(Deficit)
• Developmental expenditure
• High rate of inflation
• Decrease in supply of export industries
• Change in cost structure
• Development of import substitutes
• Demonstration effect
• Change in Taste & Preferences
• Political instability
Measure to Correct Disequilibrium
• Export promotion
• Devaluation
• Depreciation of currency
• Reducing Inflation
• Import Restrictions
• Less expenses on embassies
• End of Political Alliances
• Political and Administrative thriftiness
• Change in basic political ideology
Importance of BOP
• Guide to economic conditions and directions
• Indicator of economic changes
• Indicator of foreign dependency
• Knowledge of foreign receipts
• Indicator of foreign trade and payments
• Basis of economic planning and policy
• Helpful for international financial organisations
Trace the Mind Map
First Level
Second Level
Third Level

Exchange Rate

Meaning

It means the currencies of other countries along with the cheques, bank deposits etc. in terms of foreign currencies with domestic or forieng banks.

Reasons for the Demand of foreign exchange

- Import of good
- Growth of outbound tourism
- Gifts and grants to rest of the world
- Foreign investment across the world

Reasons for the supply of foreign exchange

- Exports
- Grants and donation from rest of the world
- Loans from rest of the world

Argument against fixed exchange rate

- Neglects National Interest
- Intervention of Central Bank
- High fluctuation in exchange rates
- Control over various sectors

Argument in favour of fixed exchange rate

- Helpful in maintaining favourable
- Helpful to check inflation
- Promotion of international trade
- Incentives of foreign capital

Trace the Mind Map

First Level · Second Level · Third Level

- **Balance of Payment is always balanced :** The equality of both sides of balance of payment is only accounting equality not real equality.
- **Autonomous and Accommodating Items :**

(i) **Autonomous Transactions :** Refer to those international economic transactions which are taken with the motive of profit. These are also called above the line items.

(ii) **Accommodating Items :** Refers to all the items related to the monetary transfers (or official reserve transactions) correcting balance of payments disequilibrium. These are also called below the line items.

- **Appreciation of currency :** It is the increase in the value of domestic currency in terms of foreign currency under flexible exchange rate system.
- **Depreciation of currency :** It is the decrease in the value of domestic currency in terms of foreign currency under flexible exchange rate system.
- **Revaluation of currency :** It is the measure taken by Central Government of a country to increase the value of domestic currency in terms of foreign currency under fixed exchange rate system.
- **Devaluation of currency :** It is the measure taken by Central Government of a country to decrease the value of domestic currency in terms of foreign currency under fixed exchange rate system.

SUBJECTIVE TYPE QUESTIONS

1 Mark Questions

Q.1. State any one difference between Balance of current account and Balance of capital account? [OEB]

Ans. Balance of current account records exports and imports of goods, services and unilateral transfers. Balance of capital account records the changes taking place in asset and liability status of the balance of payment account.

Q.2. Define Balance of trade. [OEB]

Q.3. State any one difference between autonomous transactions and accommodating transactions? [OEB]

Ans. Autonomous transactions are those transactions which are undertaken to earn profit and they do not maintain equilibrium in balance of payment account. On the other hand, accommodating transactions are those transactions which are undertaken to correct equilibrium in balance of payment account.

Q.4. Under which account will you record export of aircraft? Why? [OEB]

Ans. Export of aircraft will be recorded in the current account as it is an import of merchandise item.

Q.5. If your aunt in Australia sends you a gift. Where will it be recorded in the balance of payment? [OEB]

Ans. It will be recorded in current account as unilateral transfers.

Q.6. State giving reason whether the following statement is true or false: [OEB]

(a) "Balance of payment account records only export and import of goods."

Ans. False

Reason: Balance of payment records export and import of goods, services, unilateral transfers and assets between residents of a country and the rest of the world.

(b) "Balance of current account records sale and purchase of assets such as bonds, equities etc." [OEB]

Ans. False

Reason: Balance of current account records the transactions related to export and import of goods, services, unilateral transfers etc. And it does not record transactions related to sale and purchase of assets such as bonds, equities, etc.

(c) "Balance of payment account comprises of Balance of trade and balance of capital account." [OEB]

Ans. False

Reason: As there are two components of balance of payment account. They are Balance of current account and Balance of Capital account. Balance of trade account is a part of Balance of current account.

(d) "Accommodating transactions can be defined as those transactions which are undertaken to earn profit." [OEB]

Ans. False

Reason: This is because autonomous transactions are those transactions which are undertaken to earn profit. These are not done to maintain equilibrium in the balance of payment account.

2 Marks Questions

Q.1. Differentiate between Current Account and Capital Account of Balance of Payment. [ISC 2018]

Concept Applied	Components of BOP Account

OR

Give two differences between Current Account and Capital Account of Balance of Payment Account. [ISC 2016]

Ans.
- BOP of current account comprises visible, invisible and transfer items.

OR

- The current account records transactions relating to export and import of goods, services, unilateral transfers and international incomes.

This question is for practice and its solution is available at the end of the chapter

BOP of capital account comprises borrowing, lending and sales from or purchases of stocks and gold and foreign exchange. OR

The capital account records all international economic transactions relating to change in assets both financial and physical.

- BOP of current account – no change of asset or liability. BOP of capital account – change of asset or liability.

(Any one point of difference)

[ISC Marking Scheme, 2018]

Examiner's Comment

- Several candidates were confused between the meanings of current account and capital account of Balance of Payment (BOP) and revenue and capital account of the budget. Many candidates were able to explain BOP of current account but were unable to explain BOP of capital account.

Answering Tip

- Clearly bring out the difference between the terms Current Account and Capital Account of Balance of Payment through a flow chart.

Q.2. Write any two differences between balance of trade and balance of payment. [ISC 2017]

Ans. Difference between balance of trade and balance of payment:

Balance of Payments (BOP)	Balance of Trade (BOT)
A recor of all economic transactions between residents of a country and the rest of the world during a specific period.	A statement of al imports and exports of goods and services between a country and its trading partners during a specific period.
Includes not only trade in goods and services but also capital flows, financial transactions, and other international economic transactions.	Focuses solely on the trade of goods and services, excluding other financial transactions like investments and transfers.

[ISC Marking Scheme, 2017]

Examiner's Comment

- In the case of 'balance of trade', some candidates did not mention 'visible items'. In balance of payment, many candidates did not write 'economic transactions between normal residents of a country'.

Answering Tip

- Explain the relevance of every term and the concept of accounting balance while writing different components of BOP.

Q.3. Mention any two transactions which are recorded in the current account of the balance of payment account? [OEB]

Q.4. State the impact of "Make in India" programme on the balance of payment account? [OEB]

Ans. The programme "Make in India" implies that Indian economy is inviting foreign companies to invest in Indian economy. Then it will lead to rise in foreign direct investment. It will lead to rise in supply of foreign exchange and hence will lead to surplus in balance of payment account.

Q.5. State the impact of "Increase in import duty of gold" programme on the balance of payment account? [OEB]

Ans. When there will be increase in import duty of gold, then it will lead to fall in imports and hence balance of payment will become favourable as there will be fall in demand for foreign exchange.

3 Marks Questions

Q.1. "The Balance of Payment always balances in the accounting sense." Comment. [OEB]

Concept Applied Balance of Payment

Ans. The Balance of Payments account is prepared on a double entry system of accounting where both debit and credit aspects of a transaction are recorded. The import or export of goods is recorded on one side and its payment in foreign currency is recorded on the other side. As a result, the debit and credit always tally and in accounting sense, the Balance of Payments always balances.

Q.2. Give the meaning of Balance of payment account. State the components of current account. [OEB]

Q.3 Define "Official reserve transactions". Explain its importance in Balance of payments. [OEB]

Ans. The official reserve transactions are those transactions which are undertaken by the RBI to make changes in the official reserves of the country. The official transactions are important in the balance of payment because they are done to cover deficit or surplus in the balance of payment account.

Q.4. Give reason for the following: [OEB]

(i) Borrowings from abroad is recorded in capital account.

(ii) Charity to foreign countries is recorded in the current account.

This question is for practice and its solution is available at the end of the chapter

Ans. (i) The transaction "borrowings from abroad" are recorded in capital account and on the credit side of the capital account of the balance of payment account because it forms the part of foreign loans and advances and it leads to the inflow of foreign exchange.

(ii) The transaction "charity to foreign countries" is recorded in the current account of the balance of payment account. It is recorded on the debit side of the current account of balance of payment because it leads to outflow of foreign exchange.

Q.5. "Rise in reserves of India's foreign exchange is a sign of our rising exports." Justify. [OEB]

Ans. The rise in reserves of India's foreign exchange is not necessarily due to the rise in the exports of goods and services.

The rise in foreign exchange reserve can be due to the following reasons as well:

(i) Increase in Foreign Direct Investment.

(ii) Increase in Foreign Portfolio Investment.

(iii) Remittances from abroad by the non-resident Indian.

(iv) Decrease in imports from the foreign market.

4 Marks Questions

Q.1. Discuss the components of the Balance of Payments in the current account. [ISC Semester-II, 2022]

OR

Discuss the various components of the current account of balance of payment. [ISC 2015]

Concept Applied	Components of Balance of Payment

Ans. Current Account: Current account refers to an account which records all the transactions relating to export and import of goods and services and unilateral transfers during a given period of time.

Components of Current Account: The main components of Current Account are:

(i) Export and Import of Goods (Merchandise Transactions or Visible Trade): A major part of transactions in foreign trade is in the form of export and import of goods (visible items). Payment for import of goods is written on the negative side (debit items) and receipt from exports is shown on the positive side (credit items). Balance of these visible exports and imports is known as balance of trade (or trade balance).

(ii) Export and Import of Services (Invisible Trade): It includes a large variety of non-factor services (known as invisible items) sold and purchased by the residents of a country, to and from the rest of the world. Payments are either received or made to the other countries for use of these services. Services are generally of three kinds: (a) Shipping, (b) Banking and (c) Insurance. Payments for these services are recorded on the negative side and receipts on the positive side.

(iii) Unilateral Transfers to and from Abroad (One sided Transactions): Unilateral transfers include gifts, donations, personal remittances and other 'one-way' transactions. These refer to those receipts and payments, which take place without any service in return. Receipt of unilateral transfers from rest of the world is shown on the credit side and unilateral transfers to rest of the world on the debit side.

(iv) International reserves: It refers to the factor payments like compensation to employees and investments. Compensation to employees includes wages, salary, bonus, etc. Investment income includes receipt and payment of dividends, interest, profits, etc.

Examiner's Comment

- Several candidates did not show the debit side or the credit side in the table. In other cases, the explanation was not complete. A glaring mistake made by candidates was the incorporation of items of 'capital account', such as, transaction of international loan, inflow and outflow of capital, etc., as components of current a/c.

Answering Tips

- Learn the importance of the terms 'debit' and 'credit' in maintaining any account specially BOP.
- Clarification of terms 'current' and 'capital' is required.

Q.2. State where the following be recorded and on which side: [OEB]

(i) Import of machinery

(ii) Investment from abroad

Q.3. Give the difference between Balance of Trade and Balance of current account of balance of Payment account? [OEB]

Ans. Balance of trade can be referred to as that account which records the transactions related to export and import of goods. Balance of current account can be referred to as that account which records export and import of goods, services, unilateral transfers etc.

Q.4. In which account and in which side are the following recorded in the Balance of Payments Account ? You must give reason for your answer. [OEB]

(i) Investment from Abroad.

(ii) Transfer of funds to relatives Abroad.

This question is for practice and its solution is available at the end of the chapter

Ans. **(i)** Investment from abroad: It is entered in the credit side of capital account as it increases liabilities by inflow of foreign exchange.

(ii) Transfer of funds to relatives abroad: It is entered in the debit side of current account as it is outflow of domestic currency without getting anything in return, i.e., unilateral transfer.

6 Marks Questions

Q.1. Discuss briefly the various components of balance of payment. **[ISC 2019]**

Concept Applied	Components of Balance of Payment

Ans. The transactions entering into the balance of payments account can be grouped under two broad accounts:

(i) Current Account: Transactions related to trade in goods and services and transfer of payments constitute the current account. The components of current account do not cause a change in assets or liabilities status of the residents of a country or its government.

The components of the current account of the Balance of Payments Account are:

(a) Export and Import of Goods (Merchandise Transactions or Visible Trade): A major part of transactions in foreign trade is in the form of export and import of goods (visible items). Payment for import of goods is written on the negative side (debit items) and receipt from exports is shown on the positive side (credit items). Balance of these visible exports and imports is known as balance of trade (or trade balance).

(b) Export and Import of Services (Invisible Trade): It includes a large variety of non-factor services (known as invisible items) sold and purchased by the residents of a country, to and from the rest of the world. Payments are either received or made to the other countries for use of these services. Services are generally of three kinds: (a) Shipping, (b) Banking and (c) Insurance. Payments for these services are recorded on the negative side and receipts on the positive side.

(c) Unilateral Transfers to and from Abroad (One sided Transactions): Unilateral transfers include gifts, donations, personal remittances and other 'one-way' transactions. These refer to those receipts and payments, which take place without any service in return. Receipt of unilateral transfers from rest of the world is shown on the credit side and unilateral transfers to rest of the world on the debit side.

(d) International reserves: It refers to the factor payments like compensation to employees and investments. Compensation to employees includes wages, salary, bonus, etc. Investment income includes receipt and payment of dividends, interest, profits, etc.

(ii) Capital Account: Capital account represents international capital transactions which include sale and purchase of assets such as bonds, equities, lands, loans, bank accounts, etc. The components of capital account cause a change in assets and liabilities status of the residents of a country or its government.

These transactions include:

(a) Foreign Loans and Advances: Loans and advances extended beyond the frontiers of the country are included as a capital transaction. These include securities, etc.

(b) Foreign Investment: These are the amounts invested in business and non-business ventures of foreign countries directly or as capital portfolio.

(c) Rupee Debt Services: When loans are procured in the form of domestic currency like Rupee in India and the debt is repaid by export of goods to that country, such services are classified as Rupee Debt Services.

(d) Other transfers: These include transfers not covered above, e.g., purchase of gold and foreign exchange from other countries.

Examiner's Comment

- Several candidates incorrectly categorized the items under the debit side and credit side of balance of payment. Many candidates did not explain the capital account correctly despite having some knowledge about the components of the current account.

Answering Tips

- By means of a flow chart, learn the difference between the revenue and capital components of the union budget along with the examples of every component.
- Understand the components of balance of payments i.e. the current account and capital account components.
- Analyse the basis of categorizing the items under debit and credit side of balance of payment laying emphasis on assets and liabilities.

Q.2. Differentiate between the following: **[OEB]**

(i) Demand for Domestic Goods and Services and Domestic Demand for Goods and Services

(ii) Current Account Deficit and Current Account Surplus.

Ans. (i) Difference between Demand for Domestic Goods and Services and Domestic Demand for Goods and Services are:

S. No.	Demand for Domestic Goods and Services	Domestic Demand for Goods and Services
1.	The demand of goods and services which are produced within the boundaries of a nation.	The demand for goods and services in the domestic market irrespective of its place of production.
2.	It relates to the goods and services generally exported.	It relates to the goods and services generally imported.
3.	It increases the export of domestic goods.	It increases the imports of foreign goods.

(ii) Difference between Current Account Deficit and Current Account Surplus:

S. No	Current Account Deficit	Current Account Surplus
1.	It results when the export of goods and services is less than the imports.	It results when the export of goods and services is more than the imports.
2.	It results in Trade Deficit.	It results in Trade Surplus.
3.	It results in outflow of foreign reserves.	It results in inflow of foreign reserves.

Topic-2 Balance of Payments - Disequilibrium

Concepts covered: Disequilibrium in Balance of Payments, Causes of Disequilibrium of Balance of Payments, Measures to Correct Adverse Balance of Payments.

Revision Notes

- **Disequilibrium in Balance of Payments :** The situations where the total amount debited in Balance of Payments account is different from the total amount credited in the account. It means, the BOP is either in surplus or in deficit.
- **Causes of Disequilibrium of Balance of Payments :**

(i) Natural Causes : (a) Floods (b) Earthquakes

(ii) Economic Factors : (a) Developmental activities, (b) High rate of inflation, (c) Trade cycle, (d) Change in cost structure of trading partners, (e) Development of import substitutes.

(iii) Political Factors : (a) Political Instability, (b) Political disturbances

(iv) Social Factors : (a) Demonstration effect, (b) Change in tastes and preferences, (c) Cross border prejudices.

- **Measures to Correct Adverse Balance of Payments :**

(i) Economic Measures : (a) Export promotion, (b) Devaluation of domestic currency, (c) Exchange control (d) Depreciation, (e) Reducing Inflation, (f) Import Restrictions and Import Substitution.

(ii) Social Measures :

(iii) Political Measures : (a) Less Expenses on Embassies, (b) End of Political Alliances, (c) Political and Administrative Thriftiness, (d) Participation of non-residents, (e) Changes in Basic Political Ideology.

SUBJECTIVE TYPE QUESTIONS

1 Mark Questions

Q.1. Explain the concept of Trade deficit? [OEB]

Ans. When the export of goods is less than import of goods, it is called as trade deficit.

Q.2. Explain the concept of Trade surplus? [OEB]

Q.3. When autonomous payments are greater than autonomous receipts, then this is called as _____. [OEB]

Ans. When autonomous payments are greater than autonomous receipts then this is called as balance of payment surplus.

Q.4. State any one cause of disequilibrium in balance of payment? [OEB]

Concept Applied	Components of Balance of Payment.

Ans. Any one cause of disequilibrium in the balance of payment is the high rate of inflation.

Q.5. State any one measure to correct disequilibrium in balance of payment? [OEB]

Ans. One measure to correct disequilibrium in balance of payment is the promotion of exports and reduction in imports.

This question is for practice and its solution is available at the end of the chapter

2 Marks Questions

Q.1. Discuss any two export promotion measures undertaken to correct the disequilibrium in the Balance of Payments. [ISC Semester-II, 2022]

Concept Applied	Measure to correct adverse balance of payment

Ans. The two export promotion measures undertaken to correct the disequilibrium in the Balance of Payments are:

(i) Exchange Rate Depreciation: By reducing the value of the domestic currency, government can correct the disequilibrium in the Balance of Payments of the economy. Exchange rate depreciation reduces the value of domestic currency in relation to foreign currency. As a result, import becomes costlier and export becomes cheaper. It also leads to inflationary trends in the country.

(ii) Devaluation: Devaluation is lowering the exchange value of the official currency. When a country devalues its currency, exports become cheaper and imports become expensive which causes a reduction in the Balance of Payments deficit.

Q.2. Differentiate between autonomous capital flow and accommodating capital flow. [ISC 2020]

Q.3. How does fall in foreign demand lead to balance of payment disequilibrium? [OEB]

Ans. When the demand for domestic goods fall in the foreign market, it leads to the fall in exports. This in turn results in the imports being more than the exports, causing disequilibrium in the Balance of Payments.

Q.4. How can depreciation be used to correct the balance of payment disequilibrium? [OEB]

Ans. Depreciation of the domestic currency leads to increase in the foreign exchange rate. This leads to the rise in exports as exports become more profitable. As a result, the exports rise and becomes equal to the imports leading to correcting the disequilibrium in the balance of payments.

Q.5. How can import substitution correct the balance of payment crisis? [OEB]

Ans. If the government promotes the domestic industries to substitute the imported goods, this will lead to the fall in imports. This fall in imports continues to the level of exports making it equal. Thus, correcting the disequilibrium in the balance of payments.

3 Marks Questions

Q.1. Explain the concept of surplus in balance of payments? [OEB]

Ans. When receipts from export of goods, services, unilateral transfers received, foreign exchange earned from investment made in assets etc are more than payments made for import of goods, services, unilateral payments paid and investment in assets made in foreign countries etc.

Q.2. Explain the concept of deficit in balance of payments? [OEB]

Q.3. "Development Expenditure and Increase in debt burden causes disequilibrium in the balance of payment." Comment. [OEB]

Ans. Developmental expenditure: When the government takes in developmental expenditure, it causes the income in the economy to rise. This leads to an increase in the aggregate demand leading to inflation. This makes imported goods relatively cheaper raising imports. As a result, imports become more than the exports leading to an adverse Balance of Payments.

Increased debt burden: When the government debt increases, they need to increase the taxes, so as to repay the debt. This leads to a rise in the prices of the domestic goods. This makes imported goods relatively cheaper raising imports. As a result, imports become more than the exports leading to an adverse Balance of Payments.

Q.4. How does inflation and decrease in supply causes adverse Balance of Payment? [OEB]

Ans. Inflationary pressure in the economy: When the aggregate demand rises, causing inflationary pressure in the economy, it leads to the rise in the general price levels in the economy. The imported goods become cheaper as the prices are stable there leading to a rise in the imports. As a result, imports become more than the exports leading to an adverse Balance of Payments.

Decrease in supply: If due to any reason there is a decrease in supply, the prices of the goods rise due to the situation of excess demand. This inflation causes the exports to become comparatively more expensive, leading the exports to fall short of the imports. This results in the disequilibrium in the balance of payments.

Q.5. How can monetary and fiscal policy be used to re-establish equilibrium in the balance of payment? [OEB]

Ans. Monetary policy: The central bank can make its monetary policy in such a way that the inflation is controlled. This leads the prices to be stable in the economy, leading to a rise in exports. Ultimately, it will make imports and exports equal, correcting te balance of payments disequilibrium.

Fiscal policy: The government can use the tools of fiscal policy, such as taxation, expenditure and debt, so as to promote exports and substitute imports. This will lead to increase in exports and fall in imports, so much so that imports are equal to the exports. Thus, correcting the balance of payment disequilibrium.

This question is for practice and its solution is available at the end of the chapter

6 Marks Questions

Q.1. Discuss any six causes of adverse Balance of Payments of a country. **[ISC 2020]**

Ans. The causes of adverse Balance of Payments of a country are:

(i) **Fall in foreign demand:** When the demand for domestic goods fall in the foreign market, it leads to the fall in exports. This in turn results in the imports being more than the exports, causing disequilibrium in the Balance of Payments.

(ii) **Inflationary pressure in the economy:** When the aggregate demand rises, causing inflationary pressure in the economy, it leads to the rise in the general price levels in the economy. The imported goods become cheaper as the prices are stable there leading to a rise in the imports. As a result, imports become more than the exports leading to an adverse Balance of Payments.

(iii) **Developmental expenditure:** When the government takes in developmental expenditure, it causes the income in the economy to rise. This leads to an increase in the aggregate demand leading to inflation. This makes imported goods relatively cheaper raising imports. As a result, imports become more than the exports leading to an adverse Balance of Payments.

(iv) **Increase in cost structure of export industries:** If the cost of factors of production increases in the economy, it leads to the increase in the cost structure of export industry. This makes exports expensive, leading the exports to fall. As a result, exports become less than the imports and so causing disequilibrium in the Balance of Payments.

(v) **Decrease in supply:** If due to any reason there is a decrease in supply, the prices of the goods rise due to the situation of excess demand. This inflation causes the exports to become comparatively more expensive, leading the exports to fall short of the imports. This results in the disequilibrium in the balance of payments.

(vi) **Appreciation of exchange rate:** Due to appreciation of currency, there is fall in the price of foreign exchange rate. When the foreign exchange rate falls, then it implies that earlier by giving the same dollar, lesser domestic currency is received. This makes exports less profitable and imports more profitable. As a result, exports become less than the imports and so causing disequilibrium in the Balance of Payments.

(vii) **Increased debt burden:** When the government debt increases, they need to increase the taxes, so as to repay the debt. This leads to a rise in the prices of the domestic goods. This makes imported goods relatively cheaper raising imports. As a result, imports become more than the exports leading to an adverse Balance of Payments.

(viii) **Demonstration effect:** When the people in the economy are influenced towards buying the imported goods as they believe that the imported goods have a snob appeal, it leads to increase in the imports, even if the imports are expensive. As a result, imports become more than the exports leading to an adverse Balance of Payments.

(ix) **Population pressure:** In underdeveloped nations like India, due to a high population, it becomes necessary for the government to increase imports in order to satisfy the increasing demand. This leads to increase in the imports, even if the imports are expensive. As a result, imports become more than the exports leading to an adverse Balance of Payments.

(x) **Political factors:** Many political factors do influence the balance of payment. If there is an unstable government, there will be a rise in prices due to the increased cost of elections. This leads to adverse Balance of Payments. Not only this, if there are a lot of trade agreements, wherein there is no benefit to the domestic country, it also leads to an adverse Balance of Payments. **[Any Six]**

Examiner's Comments

- While explaining different points or causes of adverse balance of payment, most candidates did not explain the effect of that factor on export or import. They merely stated fall in export and rise in import as a reason of adverse BOP which is a vague point. Many candidates got confused with the remedies of adverse BOP.
- Some candidates only wrote the captions, while a few others wrote vague implications of the captions.

Answering Tip

- The students need to learn to explain the effect of a particular situation on the imports and exports and how it creates an adverse situation in the balance of payment. Stress upon the fact that the captions need to be accompanied with explanations.

Q.2. Explain six measures to correct disequilibrium in the balance of payment. **[ISC 2017]**

Concept Applied	Measure to correct adverse balance of payment

Ans. The measures to correct disequilibrium in the balance of payment are:

(i) **Depreciation:** Depreciation of the domestic currency leads to increase in the foreign exchange rate. This leads to the rise in exports as exports become more profitable. As a result, the exports rise and becomes equal to the imports leading to correcting the disequilibrium in the balance of payments.

(ii) **Devaluation:** Devaluation of the domestic currency leads to increase in the foreign exchange rate. This leads to the rise in exports as exports become more profitable. As a result, the exports rise and becomes

equal to the imports leading to correcting the disequilibrium in the balance of payments.

(iii) **Import control:** If the government passes laws putting quota and tariffs on the imports, it leads to the imports being expensive. This leads to a fall in the imports, so much so that the imports fall to the level of exports making it equal. Thus, correcting the disequilibrium in the balance of payments.

(iv) **Export promotion:** When the government reduces the export tariffs or give incentives to exporters, it will make the exports more profitable. As a result, the exports rise and becomes equal to the imports leading to correcting the disequilibrium in the balance of payments.

(v) **Exchange control:** When the foreign exchange supply is controlled in the economy, it leads to the depreciation of the domestic currency. This leads to increase in the foreign exchange rate. This leads to the rise in exports as exports become more profitable. As a result, the exports rise and becomes equal to the imports leading to correcting the disequilibrium in the balance of payments.

(vi) **Production of import substitutes:** If the government promotes the domestic industries to substitute the imported goods, this will lead to the fall in imports. This fall in imports continues to the level of exports making it equal. Thus, correcting the disequilibrium in the balance of payments.

(vii) **Monetary policy:** The central bank can make its monetary policy in such a way that the inflation is controlled. This leads the prices to be stable in the economy, leading to a rise in exports. Ultimately, it will make imports and exports equal, correcting te balance of payments disequilibrium.

(viii) **Fiscal policy:** The government can use the tools of fiscal policy, such as taxation, expenditure and debt, so as to promote exports and substitute imports. This will lead to increase in exports and fall in imports, so much so that imports are equal to the exports. Thus, correcting the balance of payment disequilibrium.

[Any Six]

Examiner's Comment

- A large number of candidates did not write this answer well. Some of the candidates did not explain properly the way to discourage import and encourage export.

Answering Tips

- Understand clearly, the measures to correct disequilibrium in the balance of payment with complete analysis.
- The difference between devaluation and depreciation should be focused on.

Topic-3 Foreign Exchange Rate

Concepts covered: Foreign Exchange Rate System, Demand of Foreign Exchange, Supply of Foreign Exchange, Equilibrium Rate of Exchange

Revision Notes

- **Foreign Exchange :** It means the currencies of other countries along with the cheques, bank deposits, etc. in terms of foreign currencies with domestic or foreign banks.
- **Terms of Trade :** It means the ratio between exports and imports of the country.
- **Foreign Exchange Rate :** The rate at which one currency is exchanged for another is known as the Rate of Exchange or Foreign Exchange Rate.
- **Fixed Exchange Rate System :** When the Central Bank of a country fixes (or pegs) the value of exchange rate, it is called Fixed Exchange Rate system or Pegged Exchange Rate System.

(i) **Gold Standard System of Exchange Rate :** According to the Gold Standard System of Exchange Rate, value of one currency in terms of the other currency was fixed considering gold value of each currency. This system was prevailing before 1920's where gold was taken as the common unit of parity between currencies of different countries.

(ii) **Adjusted Peg System :** It is also referred to as Bretton Woods System, which allows some adjustment in exchange rate, it is as rigid as Gold Exchange Rate System.

Scan to know more about this topic

Foreign Exchange Rate

- **Arguments in Favour of Fixed Exchange Rate :** (1) Promotion of international trade, (2) Incentives of foreign capital, (3) Acceleration in capital formation, (4) Economic planning, (5) Source of economic benefit, (6) Helpful in maintaining favourable Balance of Payments, (7) Ensures stability in exchange rate, (8) Helpful to check inflation.
- **Arguments against Fixed Exchange Rates :** (1) Neglects National interest, (2) Control over various sectors, (3) High fluctuation in exchange rates, (4) Intervention of Central Bank.
- **Flexible Exchange Rate System :** The system of exchange rate in which value of a currency is allowed to adjust freely or to float as determined by the

demand for and supply of foreign exchange is called Flexible Exchange Rate System.

- **Arguments in favour Flexible Exchange Rate System :** (1) Simple system, (2) Continuous adjustment, (3) Lesser requirement of reserve funds, (4) Efficient utilization of resources.
- **Arguments against Flexible Exchange Rate System :** (i) Bad effects of less elasticity, (ii) Creates uncertainty, (iii) Instability in international trade.
- **Determination of Flexible Exchange Rate / Demand and Supply theory of exchange rate determination / Equilibrium Rate of Exchange :** Exchange rate is determined by the interaction of demand and supply in foreign exchange market. There is an inverse relationship between price of foreign exchange (*i.e.*, rate of exchange) and demand for foreign exchange rate. On the contrary, there is direct relation between foreign exchange rate and supply of foreign exchange.
- **Reasons for the Demand of Foreign Exchange :** The demand for Foreign Exchange is created due to the following purposes :
  - **Imports:** It requires foreign exchange because payments for imports are made in foreign exchange only.
  - **Foreign Investment:** Investment in rest of the world is an important business activity. We need foreign currency in which investment is to be made.
  - **Direct purchase from Abroad:** Foreign exchange is needed to make direct purchases of goods and services from abroad.
- **Reasons for the Supply of Foreign Exchange :** The supply of Foreign Exchange is created due to the following purposes :
  - **Exports:** Exports of goods and services is an important source of supply of foreign exchange.
  - **Grants and donations from rest of the world:** A significant amount of foreign exchange flows from rich to poor countries by way of grants and donations.
  - **Loans form rest of the world:** It refers to the borrowings from rest of the world. It contributes to the supply of foreign exchange.
- **Equilibrium Rate of Exchange** : This rate is determined by the independent market sources of demand for and supply of each foreign currency.
- **Hybrid System of Exchange Rate :** (i) Wider Bands, (ii) Crawling Peg, and (iii) Managed Floating : These systems are in between fixed exchange rate and flexible exchange rate.
- **Spot Exchange Rate :** The rate of exchange which happens to prevail in the market at the time when transactions are incurred, is called Spot Exchange or Current Exchange Rate.
- **Forward Exchange Rate :** The rate of exchange at which forward transactions are to be done is termed as Forward Exchange Rate.
- **Managed Floating :** It is a system in which exchange rate is determined by the demand and supply, but at times it is controlled by government it is also called Dirty Floating.

SUBJECTIVE TYPE QUESTIONS

1 Mark Questions

Q.1. State any one factor which causes demand for foreign exchange? [OEB]

Ans. One factor which causes change in demand for foreign exchange is import of goods and services, purchasing assets in foreign countries etc.

Q.2. Define flexible exchange rate? [OEB]

Ans. Flexible exchange rate can be referred to as the exchange rate system which is fixed by the forces of demand and supply of foreign exchange.

Q.3. What is the meaning of managed floating exchange rate? [OEB]

Q.4. Give the meaning of fixed exchange rate? [OEB]

Ans. Fixed exchange rate can be referred to as when central bank fixes the exchange rate. It is also called as pegged exchange rate.

Q.5. State any one factor which causes supply of foreign exchange? [OEB]

Ans. One factor which causes supply of foreign exchange is the export of goods and services, direct investment by foreigners in domestic market etc.

Q.6. State giving reasons whether the following are true or false: [OEB]

(a) Exports are the source of demand for foreign exchange.

Ans. False.

Reason: Imports are the source of demand for foreign exchange.

(b) Floating exchange rate is determined by government.

Ans. False.

Reason: Floating exchange rate is determined by market forces.

(c) Decrease in demand for foreign currency leads to currency appreciation.

Ans. True.

Reason: Because decrease in demand for foreign currency leads to fall in exchange rate thus, increase in value of domestic currency.

(d) In case of currency appreciation, less rupees are to be paid to buy one US dollar.

Ans. True.

Reason: Because it leads to increase in value of domestic currency in reference to foreign currency. So, less in needed to pay for same amount.

(e) In order to restore the value of depreciating domestic currency, central bank sells the US dollars in the international money market.

Ans. True.

Reason: Because by selling US dollars, supply of dollars will increase which will reduce the price of dollar in relation to the domestic currency.

This question is for practice and its solution is available at the end of the chapter

2 Marks Questions

Q.1. Distinguish between depreciation and devaluation. **[ISC 2019]**

Ans. Difference between depreciation and devaluation:

Depreciation refers to fall in the free market value of the domestic currency relative to the currencies of the other countries in the market of foreign exchange. It is used under flexible exchange system.

Devaluation refers to decrease in value of domestic currency vis-a-vis other currencies as an action undertaken by Central Bank; it is used when exchange rates are fixed by the Central Bank. **[ISC Marking Scheme, 2019]**

Examiner's Comment

- Majority of the candidates did not mention the fall in the value of domestic currency in terms of foreign currency. Many candidates did not relate devaluation with the action undertaken by Central bank and that it was under fixed exchange rate. Candidates were unaware that depreciation was due to the free market mechanism and not related with the flexible exchange rate. Some candidates mixed it up with the depreciation of the assets.

Answering Tips

- Learn the meaning of Devaluation with reference to rise and fall in the value of domestic currency.
- Focus on the fact that Devaluation is undertaken by the monetary authorities and it is under the fixed exchange rate system.
- Depreciation should be understood with reference to market forces of demand and supply and that it is under the flexible exchange rate system.

Q.2. Differentiate between revaluation of currency and appreciation of currency. **[ISC 2015]**

Ans. Revaluation – attempt made by the government or monetary authorities to increase the value of home currency with respect to foreign currency.

Appreciation – increase in the value of home currencies done by forces of demand and supply.

[ISC Marking Scheme 2015]

Examiner's Comments

- Some candidates seemed to be confused. They did not relate 'revaluation' with attempt made by the Government and 'appreciation' with the market forces of demand and supply.
- Majority of the candidates did not mention the fall in the value of domestic currency in terms of foreign currency. Many candidates did not relate devaluation with the action undertaken by Central bank and that it was under fixed exchange rate. Candidates were unaware that depreciation was due to the free market mechanism and not related with the flexible exchange rate. Some candidates mixed it up with the depreciation of the assets.

Answering Tips

- Learn the meaning of Devaluation with reference to rise and fall in the value of domestic currency.
- Focus on the fact that Devaluation is undertaken by the monetary authorities and it is under the fixed exchange rate system.
- Depreciation should be understood with reference to market forces of demand and supply and that it is under the flexible exchange rate system.
- The terms Revaluation and Appreciation should be learnt separately. Revaluation is done by the Government/Monetary authorities as fixed exchange rate and Appreciation by demand and supply forces as flexible exchange rate.

Q.3. How is flexible exchange rate different from fixed exchange rate? **[OEB]**

Q.4. Explain how does borrowing impact have an impact on the exchange rate? **[OEB]**

Ans. When borrowings are made by the domestic economy then it leads to supply of foreign exchange. Hence, supply curve shift towards right. And it leads to fall in exchange rate.

Q.5. State any two factors of demand for foreign exchange? **[OEB]**

Ans. The factors which determine demand for foreign exchange are as follows:

(i) Import of goods and services from foreign countries.

(ii) To send gifts and grants abroad.

(iii) Purchasing financial assets in a foreign country.

(Any Two)

This question is for practice and its solution is available at the end of the chapter

3 Marks Questions

Q.1. How does fixed exchange rate guarantee the promotion of International Trade? [OEB]

Ans. In the case of fixed exchange rate the market forces of demand and supply do not affect the domestic currency. This stabilises the prices of the domestic market as well as the foreign market, making them unaffected by each other. The importers feel more confident and import without any problem. Even the exporters do not have to keep up with the changes in the foreign exchange rate. Thus, it will promote International Trade.

Q.2. How is continuous adjustment in the case of Flexible Exchange rate is a good thing? [OEB]

Q.3. Why is flexible exchange rate system considered to be simple? [OEB]

Ans. Flexible exchange rate system is considered to be simple as the exchange rate is determined by the market forces of demand and supply. In such a case the government or the central bank do not have to calculate the exchange rate as it is automatically calculated. Thus the government can focus on more pressing issues of the economy.

Q4. How does the central bank control inflationary pressure in the case of managed floating exchange rate? [OEB]

Ans. The central bank sells foreign exchange in the market to bring down the value of the foreign currency. This leads to appreciating the value of the domestic currency and making it a bit stronger than before. The imports become cheaper, and the raw materials from the foreign economy can be bought at cheaper rate. This leads to the control in the inflationary situation in the domestic market.

Q.5. Describe how are exports promoted due to depreciation of currency? [OEB]

Ans. Due to depreciation of currency, there is rise in the price of foreign exchange rate. When the foreign exchange rate rises, then it implies that earlier by paying the same dollar, for example, they were able to buy goods worth ₹70 but after the depreciation they were now able to buy goods worth ₹80. Hence, it leads to rise in exports in the country.

4 Marks Questions

Q.1. Even though Flexible Exchange rate is simple and ensures efficient utilisation of resources, it creates uncertainty in the market. Comment. [OEB]

Ans. Flexible exchange rate is simple as the market forces of demand and supply fix the exchange rate and it ensures efficient utilisation of resources as the importers and exporters act according to the rise and fall in the exchange rate.

Flexible exchange rate creates uncertainty because:

(i) The exchange rate can change at any time as per the demand and supply of the foreign currency in the forex market.

(ii) The investors may not want to invest during the depreciation of the currency, which will further the uncertainty and lead to depreciation.

(iii) The country can face a deficit in the balance of trade and so there could be depreciation at any sudden moment.

(iv) The exports and imports could change as per the changes in the exchange rate.

Q.2. How does Fixed exchange rate system, accelerates capital formation and also an incentive for foreign investment? [OEB]

Q.3. "Improvement in exchange rate of the country's currency is always beneficial for the countries like India." Justify. [OEB]

Ans. In developing countries like India, improvement in the exchange rate implies increase in the value of Indian currency in reference to foreign currency (Say, US dollar) and less rupees are to be paid for a dollar than before. It points to the relative strength of the Indian rupee in the international market. But it has adverse impact also as it is not beneficial for Indian Exports. It would mean that US now can buy less Indian goods for a dollar, than before, which might cut US demand for Indian goods. So, it can be concluded that improvement in exchange rate of the country's currency is beneficial but not always.

Q.4. What do you know about Managed Exchange rate system? [OEB]

Ans. Managed Floating Exchange rate system is a system in which the Central Bank allows the exchange rate to be determined by market forces but intervenes at times to influence the rate. When Central Bank finds the rate is too high, it starts selling foreign exchange from its reserve to bring it down. When it finds that the rate is too low, it starts buying to raise the rate.

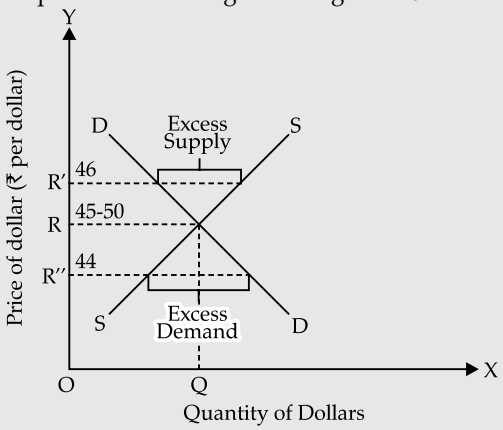
Speculation means future expectation of increase or decrease in the prices. In case when the prices of the foreign currency is expected to rise in the future, the demand for it will increase suddenly, putting a lot of pressure and leading to the depreciation of the domestic currency. In such a situation, the central bank tries to sell its foreign exchange reserve to try and stabilise the prices, but due to excessive pressure on the demand it does not have much effect. If the central bank sells too much of foreign currency in such a situation, it will lead to appreciation of the domestic currency leading to inflation or deflation as the case may be. Thus under the case of speculation, the managed floating exchange rate do not have much effect on the economy.

This question is for practice and its solution is available at the end of the chapter

6 Marks Questions

Q.1. Show with the help of a diagram how exchange rate is determined under flexible exchange rate system. **[ISC 2018]**

Ans. Equilibrium exchange rate is determined at the point in a system of flexible exchange rate, the exchange rate of a currency (like price of a good) is freely determined by forces of market demand and supply of foreign exchange. This is called equilibrium in foreign exchange market.



It will be seen from the figure that the equilibrium exchange rate, that is, the equilibrium price of dollar in terms of rupees is equal to ₹ 45·50 per dollar at which demand for and supply curve of dollars intersect and therefore the market for dollars is cleared at this rate. At a higher price of dollars, e.g., ₹ 46 the quantity supplied of dollars exceeding the quantity demanded. With the emergence of excess supply of dollars, its price, that is, the exchange rate will again fall to ₹ 45·50. On the other hand, if the rate of exchange is lower say ₹ 44 per dollar, there will emerge the excess demand for dollars. This excess demand of dollars would push up the price of dollars to the level of ₹ 45·50 per dollar. **[ISC Marking Scheme, 2018]**

Examiner's Comment

- Several candidates, while explaining the determination of exchange rate under flexible exchange rate system did not write that the exchange rate, if above the equilibrium price would lead to excess supply of foreign exchange and if below, would cause excess demand. Many candidates were unable to explain the stability of exchange rate. The meaning of exchange rate was also not mentioned by a few candidates.

Answering Tips

- The students need to first write the meaning of exchange rate and then draw a proper diagram to determine the exchange rate under flexible exchange rate system.
- Stress that the explanation of equilibrium is not merely to show the equality of demand and supply sides of variable but to show stability too. Two points, one above the equilibrium and another below it, needs to be taken for proper explanation.

Q.2. "Fixed Exchange rate system has a lot of advantages but also suffers from many disadvantages." Explain. **[OEB]**

Q.3. There is always two sides to a coin. Same can be said about Flexible Exchange Rate. Justify. **[OEB]**

Ans. Merits of Flexible Exchange Rate System:

(i) **Simple system:** The exchange rate is determined by the market forces, so it is not to be calculated and fixed by the central bank.

(ii) **Continuous adjustment:** The foreign exchange requires continuous adjustments making it show the true economic condition of the economy.

(iii) **Efficient utilization of resources:** The resources can be utilised efficiently in order to affect the foreign trade especially imports.

Demerits of Flexible Exchange Rate System:

(i) **Bad effects of less elasticity:** If the imports are of less elastic demand, it will create a problem of deficit balance of trade as the imports will increase in value.

(ii) **Creates uncertainty:** The exchange rate can change anytime leading to uncertainty in the minds of the importers and exporters regarding the exchange rate to be used at the time of trade.

(iii) **Instability in international trade:** The international trade will be unstable as due to the uncertainty in the exchange rate changes.

OBJECTIVE TYPE QUESTIONS

[A] Multiple Choice Questions

Q.1. If at present $1 = ₹95 and later $1 = ₹ 80, it is a case of: **[ISC Semester-II, 2022]**

(A) appreciation of currency
(B) devaluation of currency
(C) depreciation of currency
(D) supply of currency

Ans. Option (A) is correct.

Explanation: Appreciation of domestic currency is a situation of a fall in the exchange rate and fewer rupees are needed to buy one dollar. It leads to a rise in imports as imports are a component of the demand for foreign exchange.

This question is for practice and its solution is available at the end of the chapter

Q.2. A company located in India receives a loan from a company located abroad. How is this transaction is recorded in India's Balance of Payment account? [OEB]

(A) Credit side of current account.
(B) Debit side of current account.
(C) Credit side of capital account.
(D) Debit side of capital account.

Ans. Option (C) is correct.

Explanation: Loan received from a company located abroad is considered under capital account on the credit side.

Q.3. An Indian company located in India invests in a company located abroad. This transaction is entered in India's balance of payments account on: [OEB]

(A) Credit side of current account.
(B) Debit side of current account.
(C) Credit side of capital account.
(D) Debit side of capital account.

Ans. Option (D) is correct.

Q.4. Foreign Exchange Transactions dependent on other Foreign Exchange Transactions are called: [OEB]

(A) Current account transactions.
(B) Capital account transactions.
(C) Autonomous transactions.
(D) Accommodating transactions.

Q.5. Which of the following is not the benefit of a lower trade deficit? [OEB]

(A) Help the external sector balance sheet.
(B) Prop-up the Current Account.
(C) Increase the Balance of Payment numbers.
(D) Increase the Capital Account deficit.

Ans. Option (D) is correct.

Explanation: Due to lower trade deficit, it facilitates the external sector balance sheet, increase the balance of payment numbers, prop-up the current account etc.

Q.6. FDI inflows in March is a type of _____. [OEB]

(A) Accommodating transactions
(B) Accumulating transactions
(C) Autonomous transactions
(D) None of the above

Ans. Option (C) is correct.

Explanation: Foreign direct investments are autonomous transactions of long-term capital movements, motivated by economic interests, with the profit at the first place.

Q.7. The Forex resources has surged in India. What effect does it have on the country? [OEB]

(A) Balance of Payment surplus
(B) Balance of Trade surplus
(C) Balance of Payment deficit
(D) Balance of Trade deficit

Ans. Option (A) is correct.

Explanation: The Balance of Payments of a country is the difference between all money flowing into the country in a particular period of time and the outflow of money to the rest of the world.

Q.8. Other things remaining unchanged, when in a country, the price of foreign currency rises, national income is: [OEB]

(A) Likely to rise.
(B) Likely to fall.
(C) Likely to rise and fall both.
(D) Not affected.

Ans. Option (A) is correct.

Explanation: When there is rise price of foreign currency, then exports rise because with the same dollar more goods can be purchased. Hence, aggregate demand will rise and hence there will be rise in national income.

Q.9. Other things remaining the same, when in a country the market price of foreign currency falls, national income is likely: [OEB]

(A) To rise. **(B)** To fall.
(C) To rise or to fall. **(D)** To remain unaffected.

Q.10. Identify which of the following statement is true? [OEB]

(A) The flexible exchange rate system gives the government more flexibility to maintain large stocks of foreign exchange reserves.
(B) In the managed floating exchange rate system, the government intervenes to buy and sell foreign currencies.
(C) In the managed floating exchange rate system, the central bank intervenes to moderate exchange rate fluctuations.
(D) In the fixed exchange rate system, market forces fix the exchange rate.

Ans. Option (C) is correct.

Explanation: Managed floating exchange rate system is the amalgamation of the flexible exchange rate system and the fixed exchange rate system. Under this system, central banks intervene to buy and sell foreign currencies in an attempt to moderate exchange rate movements.

[B] Assertion Reason Questions

Directions: In the following questions, a statement of Assertion (A) is followed by a statement of Reason (R). Mark the correct choice as:

(A) Both Assertion (A) and Reason (R) are true and Reason (R) is the correct explanation of Assertion (A).
(B) Both Assertion (A) and Reason (R) are true but Reason (R) is not the correct explanation of Assertion (A).
(C) Assertion (A) is true but Reason (R) is false.
(D) Assertion (A) is false but Reason (R) is true.

Q.1. Assertion (A): Acquisition of a domestic (Indian) company by a foreign (Australian) company will be recorded on the credit side of Balance of Payment Account.

Reason(R): It leads to outflow of foreign exchange from the domestic economy.

[CBSE SQP, Term-I, 2021-22]

Ans. Option (C) is correct.

Explanation: When domestic company, for example, any Indian company is acquired by foreign company (i.e. Australian company), then it will lead to inflow of foreign exchange in the domestic economy. Hence, the assertion (A) is true but reason (R) is false

This question is for practice and its solution is available at the end of the chapter

Q.2. Assertion (A): Balance of payment is same as Balance of Trade.
Reason (R): Balance of Trade shows all the imports and exports of goods and services. **[OEB]**

Ans. Option (D) is correct.
Explanation: Balance of Trade is a part of Balance of payment. A major part of transactions in foreign trade is in the form of export and import of goods (visible items). Payment for import of goods is written on the negative side (debit items) and receipt from exports is shown on the positive side (credit items). Balance of these visible exports and imports is known as balance of trade (or trade balance).

Q.3. Assertion (A): The Ukraine Russia war has caused the depreciation of rupee.
Reason (R): India has a high dependence on oil imports and the prices of oil has increased. **[OEB]**

Ans. Option (A) is correct.
Explanation: India being dependent on oil imports and the prices of oil rising due to the war has lead to the increase in the demand of US dollars leading to a decrease in the value of Rupee in the international market.

Q.4. Assertion (A): Due to Covid – 19, the currency of the tourism-based countries like Sri Lanka has depreciated.
Reason (R): Sri Lanka is not getting enough foreign exchange which it earned in tourism. **[OEB]**

Ans. Option (A) is correct.
Explanation: As the countries were locked down and due to travel restrictions, countries like Sri Lanka who are depended on Tourism to earn the foreign currency and maintain the steady supply of it couldn't do so, forcing the supply of foreign currency fall short of the demand leading to the appreciation of the foreign currency.

Q.5. Assertion (A): Russian Ruble has fallen sharply due to US Economic sanctions.
Reason (R): Russia is not able to export using the US dollars. **[OEB]**

Case Based Questions

[A] Multiple Choice Questions

I. Read the news report given below and answer the questions that follow on the basis of the same:
NEW DELHI: India's balance of payments this year is going to be "very very strong" on the back of significant improvement in exports and a fall in imports, Commerce and Industry; Minister Piyush Goyal said on Monday. He said that "good" green shoots are visible in the economy and exports have shown a "good" turnaround.
"We are in July at about 91 per cent export level of July 2019 figures. Imports are still at about 70-71 per cent level of July 2019. So, broadly our balance of payments this year is going to be very very strong, which is why we feel confident that Indian industry will see opportunities for themselves, will see opportunities of growth," he said at a FICCI webinar. India's exports fell for the fourth straight month in June as shipments of key segments like petroleum and textiles declined but the country's trade turned surplus for the first time in 18 years as imports dropped by a steeper 47.59 per cent. The country posted a trade surplus of USD 0.79 billion in June. **[OEB]**

(a) Why is India having a very strong Balance of Payment?
(A) Increase in Exports **(B)** Decrease in Imports
(C) Both (A) and (B) **(D)** Neither (A) nor (B)

Ans. Option (C) is correct.
Explanation: Balance of Payments surplus means the country's exports more than it imports.

(b) Read the following statements - Assertion (A) and Reason (R).
Assertion (A): The country's trade turned surplus for the first time.
Reason (R): India's exports fell for the fourth straight month in June.
Select the correct alternative from the following:
(A) Both Assertion (A) and Reason (R) are true, and Reason (R) is the correct explanation of the Assertion (A).
(B) Both Assertion (A) and Reason (R) are true, but Reason (R) is not the correct explanation of the Assertion (A).
(C) Assertion (A) is true, but Reason (R) is false.
(D) Assertion (A) is false, but Reason (R) is true.

Ans. Option (B) is correct.
Explanation: Imports dropped by a steeper 47.59 percent.

(c) Consider the following statements:
(1) It will get a lot of investments.
(2) The government can achieve its development goals.
(3) Increase the GDP of the economy.
(4) It is more profitable for domestic manufacturers.
Which of the following is the true benefit of having a strong Balance of Payment:
(A) 1 and 3 only **(B)** 3 and 4 only
(C) 1, 3 and 4 only **(D)** 1, 2, 3 and 4

Ans. Option (B) is correct.

(d) _____ is the situation when the imports of goods are more than the export of goods.
(A) Trade Surplus
(B) Trade Deficit
(C) Either (A) or (B)
(D) Neither (A) nor (B)

Ans. Option (B) is correct.
Explanation: Trade deficit can be defined as when the import of goods is more than the export of goods.

[B] Subjective Based Questions

I. India's overall exports (Merchandise and Services combined) in April–December 2022 was estimated to exhibit a positive growth of 16·11 % over the same period last year. As India's domestic demand has remained steady amidst the global slump, overall imports were estimated to exhibit a growth of 25·55%. Global growth forecasts indicate a downturn in global economic activity and trade. The decline in exports is mainly on account of less demand in India's key destinations – Europe and the US. It may take some more months for the situation to improve.

This question is for practice and its solution is available at the end of the chapter

In reality, negative growth rates were observed for both exports (Merchandise and Services combined) and imports for this period, but exports exhibited higher negative growth rate than that of imports.

Source (edited): INDIA'S FOREIGN TRADE: December 2022

Posted on: 16 January 2023 by PIB Delhi

[ISC Specimen Paper, 2023-24]

(a) Which account of BOP is the concern in this extract?

Ans. The Current Account of the Balance of Payment is concerned in the extract

(b) Mention the components of this account of BOP.

Ans. The components of this account are:

(i) Export and Import of goods

(ii) Export and Import of services

(iii) Unilateral transfers

(iv) International reserves

(c) Which situation, deficit or surplus, of this account is focused here?

Ans. Deficit is focused here as the exports exhibited higher negative growth rate than that of imports.

(d) Which policy measure, revaluation or devaluation should be implemented to resolve the situation given above? Explain the mechanism in brief.

Ans. Devaluation should be implemented to resolve the situation. When the currency is devalued, the foreign exchange becomes expensive making imports expensive and so decreasing the imports. This also makes the exports more profitable, so the exporters will increase the exports. Thus, it will lead to being in equilibrium.

(e) How does this account of BOP influence the national income?

Ans. The current account of the Balance of Payments affect the national income as if there is a surplus in the current account there is more goods being exported by the country and so the net exports will be positive and contribute to the national income. Likewise the deficit in the current account indicates that there are more imports and so the net exports are negative, in turn decreasing the national income of the country.

III. A change in the rupee-dollar exchange rate represents the change in external value of rupee. The value of rupee, in terms of dollar, has been falling continuously over a period of time. Since rupee-dollar exchange rate is determined by the demand for and supply of dollars, it is possible that the value of rupee slides further if appropriate measures are not taken.

The Reserve Bank of India, in-charge of both internal and external value of rupee, has repeatedly emphasised on maintaining stability in the foreign exchange market. **[ISC 2023]**

(a) What kind of exchange rate system is being referred to in the passage?

Ans. Floating exchange rate and demand for foreign exchange.

(b) 'The value of rupee, in terms of dollar, has been falling continuously over a period of time.' Give the economic term for this phenomenon.

Ans. Currency depreciation.

(c) How would this phenomenon affect balance of payments?

Ans. Depreciation in domestic currency tends to reduce positive balance of payment in the medium and long run. It tends to improve the current account balance of payments. This is because exports increase relative to imports. However, this assumes that demand for exports and imports are relatively elastic.

(d) Explain the role of Reserve Bank of India, as a custodian of foreign exchange.

Ans. Reserve Bank of India acts as custodian of foreign exchange reserves. It is helpful in eliminating difficulties of balance of payments and in maintaining stable exchange rate. For minimizing fluctuations in foreign exchange rate, central bank buys or sells foreign exchange in the market.

(e) Suggest any two measures to correct adverse Balance of Payments.

Ans. Measures to correct adverse balance of Payment are as follows:

(i) Exports should be encouraged by granting various bounties to manufacturers and exporters. At the same time, imports should be discouraged by undertaking import substitution and imposing reasonable tariffs.

(ii) To reduce imports reduce deficit in balance of payments is to adopt monetary and fiscal policies that aim at reducing aggregate expenditure in the economy. The fall in aggregate expenditure or aggregate demand in the economy works to reduce imports and help in solving the balance of payments problem.

Solutions for Practice Questions (Topic-1)

1 Mark Questions

2. Balance of trade can be referred to as the difference between exports and imports of goods.

2 Marks Questions

3. The transactions which are recorded in the current account of the balance of payment account are:

(i) Export and import of goods.

(ii) Export and import of services.

(ii) Unilateral transfers paid and received. **(Any Two)**

3 Marks Questions

2. Balance of payment account comprises of balance of current account and balance of capital account. It records transactions related to export and import of goods, services, unilateral transfers, assets etc.

The components of current account are as follows:

Export and import of goods

Export and import of services

Unilateral transfers paid and received.

4 Marks Questions

2. (i) "Import of machinery" will be recorded on the debit side of current account of balance of payment. As it leads to outflow of foreign exchange.

(ii) "Investment from abroad" will be recorded on the credit side of capital account of balance of payment account. As it leads to inflow of foreign exchange.

Solutions for Practice Questions (Topic-2)

1 Mark Questions

2. When the export of goods received is greater than payment made for import of goods is called as trade surplus.

2 Marks Questions

2.

Autonomous capital flow	Accommodating capital flow
This flow takes place because of normal economic considerations like earning profits, dividend, interest, etc.	This flow has to be made specifically to bring the balance of payment into equilibrium. Example: if there is deficit in the current account it can be settled by an accommodating capital inflow.

[ISC Marking Scheme, 2020]

Examiner's Comment

- Majority of the candidates did not write the key words normal economic consideration and to bring the equilibrium. Some candidates wrote about surplus and deficit.

Answering Tip

- The students need to understand that autonomous capital flow is because of normal economic considerations. Accommodating capital flow is made to bring the balance of payment into equilibrium. Emphasise that the difference between two concepts should bring out the meaning clearly. The students are advised against writing irrelevant points.

3 Marks Questions

2. When receipts from export of goods, services, unilateral transfers received, foreign exchange earned from investment made in assets etc are less than payments made for import of goods, services, unilateral payments paid and investment in assets made in foreign countries etc.

Solutions for Practice Questions (Topic-3)

1 Mark Questions

3. Managed floating exchange rate can be referred to as that system in which demand and supply forces and central bank determines the rate.

2 Marks Questions

3. Fixed exchange rate is the rate which is fixed by the government for exchange of foreign currency in terms of domestic currency.

   Flexible exchange rate is the rate derived by equilibrium between the market forces of demand for and supply of foreign currency in exchange of domestic currency.

3 Marks Questions

2. In case of flexible exchange rate system, the exchange rate is to be continuously adjusted as per the market demand and supply of foreign exchange. This is a good thing as the true forces affect the foreign exchange so we can know about the true growth rate of the economy. Plus, it does help to know about the true balance of payment crisis in the economy.

4 Marks Questions

2. **Fixed Exchange rate system accelerated capital formation as:**

(i) Purchasing capital from the foreign country is comparatively easy as the exchange rate need not be calculated from time to time.

(ii) The payment system faces no fluctuation over time and so the capital goods can be purchased without the effect of inflation.

Fixed Exchange rate system is also an incentive for foreign capital as:

(i) Foreign investors do not feel threatened of the fluctuations in the market. They feel that their investment is secure.

(ii) As they feel the investment to be secured there is an increase in the foreign direct investment and foreign portfolio investments as the investors can earn profits.

6 Marks Questions

2. **The merits of Fixed Exchange Rate:**

(i) **Promotion of international trade:** As the exchange rates are fixed in the Fixed Exchange rate system, the importers and exporters feel confident about increasing the trade. This helps in the promotion of International Trade.

(ii) **Incentives of foreign capital:** The foreign investors feel safe to invest in the domestic market. This brings in more of foreign capital which helps in the stabilisation of the economy and economic growth.

(iii) **Acceleration in capital formation:** The foreign investment enables the country to get foreign capital which enables it to invest in buying capital goods and also investing in the infrastructural development of the country.

Demerits of Fixed Exchange Rates:

(i) **Neglects National interest:** The fixed exchange rate system neglects national interest as the domestic currency is not pegged in accordance with the economic condition of the country.

(ii) **Control over various sectors:** The government controls over the foreign exchange rate so indirectly it controls various sectors in the market.

(iii) **Intervention of Central Bank:** The central bank changes the exchange rate as per its will in case of fixed exchange rate system. In order to substitute imports it can peg the domestic currency at a very low rate making imports expensive.

Solutions for Objective Type Questions

[A] Multiple Choice Questions

4. **Option (D) is correct.**

Explanation: Because these transactions are done to maintain equilibrium in balance of payment. These are done to cover deficit or surplus in balance of payment account.

9. **Option (B) is correct.**

Explanation: When there is fall in market price of foreign currency, then there will be rise in imports and hence aggregate demand will fall and hence it will lead to fall in national income.

[B] Assertion Reason Questions

5. **Option (B) is correct.**

Explanation: Russian Ruble is depreciating because of sanctions from US but it is not due to the fall in exports using US dollars but also the country is not being able to import the raw materials or earn from foreign remittances.

REFLECTION

(a) Can you explain the various components of Balance of Payment?

(b) Can you explain the various factors causing disequilibrium in the Balance of Payment?

(c) Can you suggest the measures that government can take to correct the disequilibrium in the Balance of Payment?

(d) Do you understand clearly, the various systems of foreign exchange rate?

(e) Can to determine the exchange rate under the flexible exchange rate system?